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GST CASE LAW
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EXCERPTS

Whether issuance of a Show Cause Notice u/s 73 within the prescribed calendar-month limitation satisfies statutory requirements?

Whether Central GST audit u/s 65 can be initiated when State GST has already issued proceedings u/s 73 for the same period, in light of Section 6(2)(b)?

Whether proceedings u/s 74 of the CGST Act can be initiated after dropping scrutiny proceedings u/s 61(3)?

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INDEX

- Whether issuance of a Show Cause Notice under Section 73 within the prescribed calendar-month limitation satisfies statutory requirements? 1
- Whether Central GST audit under Section 65 can be initiated when State GST has already issued proceedings under Section 73 for the same period, in light of Section 6(2)(b)? 2
- Whether proceedings under Section 74 of the CGST Act can be initiated after dropping scrutiny proceedings under Section 61(3)? 3
- Whether a show cause notice under Section 93 of the GST Act can be issued in the name of a deceased person without notifying his legal representative? 4
- Whether a show cause notice is valid if it is only uploaded on the portal without being served through any other mode under Section 169(1)? 5
- Whether a composite show cause notice and composite order covering multiple assessment years under Section 74 of the GST Act is valid? 6
- Can the department renew or reissue a provisional attachment under Section 83 of the CGST Act once the initial attachment has lapsed after one year under Section 83(2)? 7
- Whether a rectification order under Section 161 can be passed without granting a hearing and recording reasons, especially when the rectification adversely affects the assessee? 8
- Whether an order under Section 74(10) becomes invalid if Form DRC-07 is uploaded after the limitation period? 9
- Whether issuance of multiple SCN's on the same subject and period by different authorities is valid when a stay order is already operating in respect of the matter? 10
- Whether provisional attachment of a taxpayer's bank account can continue once an appeal has been filed with the mandatory pre-deposit under Section 107 of the CGST Act? 11
- Whether issuance of a single consolidated SCN covering multiple years is valid when the core allegation relates to fraudulent availment of ITC? 12

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INDEX

- Whether the 60-day limit under Section 54(7) of the WBGST Act is mandatory, and can refund be denied beyond verifying tax payment? 13
- Whether limitation for refund of tax wrongly paid under wrong head starts from date of original payment or subsequent correct payment? 14
- Whether a writ petition is maintainable against an adjudication order confirming fraudulent availment of ITC on bogus invoices without allowing cross-examination? 15
- Whether ITC reversal under Section 16(2)(c) is valid when the supplier failed to pay tax, and can penalty be imposed without pre-intimation in DRC-01A? 16
- Whether delay of 51 days in filing appeal under Section 107 of the CGST Act can be condoned on showing genuine reasons? 17
- Whether parallel proceedings can be initiated by both Central and State GST authorities on the same subject matter once proceedings have already been initiated by one authority under Section 6(2)(b) of the CGST Act? 18
- Whether an assessment order in Form GST DRC-07 issued without the signature of the assessing officer is valid under the GST law? 19
- Whether interest on delayed GST refunds should be calculated from the date of first refund application or from the date of refund application pursuant to Appellate approval? 20
- Whether blocking of electronic credit ledger under Rule 86A without recording reasons amounts to violation of principles of natural justice? 21
- Can confiscation proceedings under Section 130 read with Section 122 of the CGST Act be initiated merely on the basis of excess stock found during survey? 22
- Can a mere summary of SCN in Form GST DRC-01, lacking signature and authentication, substitute a valid SCN under Section 73? 23
- Whether detention and confiscation orders under Section 129 are valid if no SCN is served as mandated under Section 129(3) of the CGST/SGST Act? 24
- Whether dismissal of an appeal for non-filing of a self-certified copy of the impugned order is valid under GST procedural rules? 25

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INDEX

- About the Author 26
- About the Firm 27

Whether issuance of a Show Cause Notice under Section 73 within the prescribed calendar-month limitation satisfies statutory requirements?

Yes, The Hon'ble Delhi High Court in ***Tata Play Ltd. v. Sales Tax Officer Class II/AVATO [W.P.(C) 4781/2025 & CM APPL. 22012/2025, decided on 29.07.2025, 2025: DHC:6172-DB; 2025 (8) TMI 68 – Delhi HC]*** upheld the validity of a show cause notice and dismissed the writ petition as not maintainable. The Petitioner had challenged a show cause notice dated 30.11.2024 issued under Section 73 of the CGST Act and the consequent order dated 28.02.2025 on the grounds of limitation and violation of principles of natural justice. It was contended that the notice and order were without jurisdiction and that the Petitioner was not provided adequate opportunity of hearing. The Department argued that the SCN was well within limitation and that the Petitioner was duly granted opportunity to respond, including a personal hearing, with only one adjournment as permissible under law. The Hon'ble Court observed that under Section 73(2), the show cause notice must be issued at least three months prior to the time limit for passing the order. Since the impugned SCN was dated 30.11.2024 and the order was passed on 28.02.2025, the statutory requirement was duly met. Further, the Court noted that the Petitioner had sufficient opportunity to file reply and avail personal hearing, and that only one adjournment was sought, which was allowed in line with Section 75(4) of the CGST Act. Thus, no violation of natural justice was established. Accordingly, the writ petition challenging the SCN and order was dismissed as not maintainable. At the same time, the Court clarified that the Petitioner may avail statutory appellate remedy under Section 107 of the CGST Act by filing an appeal by 31.08.2025 with the requisite pre-deposit. The Appellate Authority was directed to entertain the appeal on merits without raising limitation objections.

Author's Comments:

The judgment once again throws light on the long-debated issue of whether the limitation prescribed under Section 73(2) of the CGST Act must be reckoned strictly on the basis of "corresponding dates" or as "calendar months" under the General Clauses Act. The Delhi High Court has aligned itself with the latter approach, treating three months as three British calendar months and thereby upholding the SCN issued on 30.11.2024 as valid. This interpretation, however, directly contrasts with the view taken by the Andhra Pradesh High Court in M/s Cotton Corporation of India v. Assistant Commissioner (ST) (Audit) & Others (W.P. No. 1463 of 2025, Dated: 05-02-2025), where the deadline was computed on the corresponding date principle and the SCN dated 30.11.2024 was declared invalid.

The Revenue's argument of stretching limitation by adopting calendar months' risks diluting the mandatory nature of Section 73(2). If accepted uncritically, the same logic could spill over into other critical areas such as appeals, refunds, and penalty computation, causing serious inconsistency. The Supreme Court in Himachal Pradesh v. Himachal Techno Engineers (2010) 12 SCC 210 and the House of Lords in Dodds v. Walker (1981) 2 WLR 609 (HL) had held that limitation periods prescribed in "months" must ordinarily be computed by reference to corresponding dates. The Delhi High Court, however, drew strength from the General Clauses Act definition of "month" given in Section 3(35) of General Clauses Act, 1897 as a British calendar month to support a broader reading.

The divergence between the Delhi HC and Andhra Pradesh HC highlights a looming conflict that will inevitably require resolution by the Supreme Court. Until then, taxpayers face uncertainty—whether to reckon the limitation period under Section 73 strictly to the date or by calendar months. This case is likely to reach the Apex Court soon, and its outcome will decisively shape the future approach to limitation across GST law.

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Whether Central GST audit under Section 65 can be initiated when State GST has already issued proceedings under Section 73 for the same period, in light of Section 6(2)(b)?

No, The Hon'ble Calcutta High Court in the case of ***Abdur Rouf Khan v. Superintendent of Central Tax, Kolkata Audit-II Commissionerate & Ors.[WPA 3987 of 2025, decided on 09.07.2025; 2025 (8) TMI 228 – Calcutta HC]*** held that Section 6(2)(b) of the CGST/WBGST Act prohibits initiation of proceedings by one authority if proceedings on the same subject matter have already been initiated by another authority. Consequently, fresh audit proceedings under Section 65 could not be sustained when proceedings under Section 73 were already pending or concluded for the same tax period. In this case, the Petitioner challenged audit observations dated 13.01.2025 issued by the CGST Audit Commissionerate for FY 2017-18 to 2022-23. The Petitioner contended that State GST authorities had already issued notices and passed orders under Section 73 for FY 2017-18 to 2019-20, covering the same subject matter, namely exempted supply claims and alleged suppression of turnover. Moreover, the Central authorities themselves had earlier issued a show cause notice dated 19.12.2023 and passed an order-in-original dated 25.04.2024 for FY 2018-19 to 2021-22 on similar grounds of suppression and turnover mismatch. The Department defended the audit, arguing that it was a statutory power under Section 65 and independent of earlier actions. The Court observed that Section 6(2)(b) of the CGST Act creates a statutory bar against initiation of proceedings by one authority once another authority has already initiated proceedings on the same subject matter. Since State authorities had already adjudicated issues for FY 2017-18 to 2019-20, and the Central authorities themselves had earlier exercised jurisdiction for FY 2018-19 to 2021-22, there was no scope to reopen audits for those periods. The Court clarified that while the Department is empowered to conduct audits, such power cannot extend to periods already subjected to adjudication. Accordingly, the Court set aside the impugned audit observations to the extent they related to FY 2018-19 to 2021-22 and confined the scope of audit only to FY 2017-18 and 2022-23, which had not been covered earlier. The writ petition was allowed in part with no order as to costs.

Author's Comments:

The ruling reaffirms the legislative intent of Section 6(2)(b), which aims to prevent overlapping jurisdiction and duplicative proceedings by different tax authorities on the same subject matter for the same period. If Central authorities have already conducted an audit or adjudication, there is no occasion to re-initiate another audit for that period, as it would erode finality in proceedings and perpetuate harassment of taxpayers. Equally, where the State authorities have initiated proceedings for any subject matter, the Central authorities are barred from reopening the same issues.

It is important to note, however, that Section 6(2)(b) applies only where the "subject matter" is identical. If the cause of action or the issue under examination is distinct, the bar may not apply. In the present case, both State and Central proceedings revolved around the same core allegations—suppression of turnover and wrongful exemption claims—which made the second round of audit unsustainable.

Interestingly, there is a procedural inconsistency in this case. Suppression of turnover or evasion is typically the subject matter of proceedings under Section 67, which provides for inspection, search, and seizure (with cross-empowerment). On the other hand, Section 73 deals with non-fraudulent short payment or non-payment of tax. The Bedrock of proceedings u/s 67 is evasion of tax. Section 73 proceedings are incompatible with the proceedings carried out u/s 67. This must have been objected and the demand must have failed.

Further, the petitioner ought to have objected to the audit proceedings for FY 2017-18, since the statutory time limit for passing an order under Section 73 for that year has already expired. Consequently, there is no occasion for the Department to reopen FY 2017-18 by presuming fraud or attempting to circumvent the limitation period.

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Whether proceedings under Section 74 of the CGST Act can be initiated after dropping scrutiny proceedings under Section 61(3)?

Yes, proceedings under Section 74 can be initiated after dropping scrutiny proceedings under Section 61(3). However, Section 73 proceedings cannot be initiated after dropping of proceedings under Section 61(3). The Hon'ble Calcutta High Court in ***Amit Agarwal v. Assistant Commissioner, CGST & CX & Anr. [WPA 7788 of 2025, decided on 17.07.2025, 2025 (8) TMI 481 – Calcutta HC]*** held that once proceedings under Section 61(3) are concluded in favour of the taxpayer, fresh proceedings under Section 73 on the same issue and period are barred. The rationale is that once the officer accepts the explanation in scrutiny, the same issue cannot be re-agitated under Section 73. In this case, the Petitioner had satisfactorily responded to a notice under Section 61, leading to the dropping of those proceedings. Subsequently, the Department initiated proceedings under Section 74 for the same period, which the Petitioner challenged. The Court held that had notice being issued under section 73, then such initiation was permissible as it would amount to reopening a settled scrutiny. However, the Court clarified that Section 74 proceedings, being distinct in nature, could still be invoked if fraud, willful misstatement, or suppression of facts later comes to light. The Court observed that in the present case, the taxpayer's conduct—including the cancellation of registration soon after receiving the scrutiny notice—indicated a prima facie case of fraud. Therefore, while Section 73 proceedings were barred, the initiation of Section 74 proceedings was upheld. Accordingly, the petition was dismissed, and the Department was permitted to proceed under Section 74 of the CGST Act.

Author's Comments:

The Calcutta High Court has drawn a line between proceedings under Section 61 (scrutiny of returns) and adjudication proceedings under Sections 73/74 (determination of tax). However, in Author's view, the interpretation that once scrutiny is dropped, Section 73 proceedings are barred is too restrictive and not in tune with the scheme of the Act.

Section 61 is a limited, preliminary mechanism meant only to seek clarification on discrepancies apparent from returns or related particulars. Dropping of scrutiny cannot be equated with a final adjudication for that tax period. By contrast, Sections 73 and 74, both beginning with the phrase "where it appears", confer wide jurisdiction on the proper officer to initiate proceedings based on any credible material, whether discovered through scrutiny, audit, inspection, summons, or intelligence. In fact, scrutiny under Section 61 is only one of many gateways that can lead to adjudication under Sections 73/74. Others include audit (Section 65), inspection/search (Section 67), and inquiry (Section 70). Therefore, treating a closure under Section 61 as a bar to subsequent proceedings overlooks the integrated framework of Chapter XV.

While the Court has barred Section 73 proceedings post-scrutiny, it has preserved the wider reach of Section 74. Author's view is that both Sections 73 and 74 should remain open where fresh information or new angles of investigation surface, since the statute does not expressly prohibit it. The real test lies in the quality and freshness of the material relied upon, not in the fact that scrutiny was earlier concluded.

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Whether a show cause notice under Section 93 of the GST Act can be issued in the name of a deceased person without notifying his legal representative?

No. The Hon'ble Allahabad High Court in ***M/s Shakti Industries v. State of Uttar Pradesh & Ors. [Writ Tax No. 3558 of 2025, decided on 01.08.2025, 2025 (8) TMI 463 – Allahabad HC]*** held that a show cause notice and proceedings for recovery of dues under Section 93 of the GST Act cannot be initiated against a deceased person without notice to the legal heir or representative.

In this case, the petitioner's husband being the proprietor of firm had expired and the firm's registration stood cancelled. Despite this, the Department issued a show cause notice in the name of the deceased and proceeded to pass an order of determination and recovery. The petitioner challenged the proceedings on the ground that such notice and order were void ab initio since Section 93 expressly contemplates recovery from the legal representative after due notice. The Hon'ble Court observed that tax liability under Section 93 may devolve upon the legal heir, but principles of natural justice require that notice be issued to such heir and an opportunity of hearing be granted before fastening liability. Issuance of a show cause notice to a dead person was held to be a fundamental illegality, rendering the subsequent order null and void. The Court therefore quashed the impugned proceedings and allowed the writ petition.

Author's Comments:

This ruling reinforces a fundamental but often overlooked principle: proceedings cannot be initiated or continued against a deceased person. The Allahabad High Court has clarified that while Section 93 of the GST Act provides for recovery of dues from a legal representative, it does not authorize issuance of a show cause notice or determination of liability in the name of the deceased. Any such action is a nullity and non-est in law.

The analogy drawn from Order XXII Rule 1 CPC is apt—if the right to sue does not survive, proceedings against the deceased individual stands abated upon their demise. Similarly, Section 169 of the CGST Act on service of notice presupposes that the recipient is a living, identifiable person capable of responding. A notice addressed to a dead person can never amount to valid service.

The Court's observation in para 7 of the judgment is particularly significant: Section 93 merely enables recovery from legal representatives once liability is determined. It does not empower initiation of adjudication or determination proceedings against a deceased person. This closes the door on the common departmental practice of issuing SCNs in the name of deceased proprietors merely because the registration remained in their name.

The reliance on CIT v. Scindia Steam Navigation Co. Ltd. (1961 AIR SC 1633) also underlines the larger principle that mandamus or enforcement cannot lie where a proceeding itself is fundamentally defective, as in the case of a notice issued to a person no longer in existence.

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Whether a show cause notice is valid if it is only uploaded on the portal without being served through any other mode under Section 169(1)?

No, The Hon'ble Madras High Court in ***M/s G.R. Jewellers v. The Deputy State Tax Officer (ST), Chennai [W.P. No. 24033 of 2025 & W.M.P. Nos. 27036 & 27038 of 2025, decided on 03.07.2025, 2025 (8) TMI 470 – Madras HC]*** held that uploading a show cause notice only on the GST portal does not constitute valid service under Section 169(1) of the CGST Act. In this case, the Department had uploaded the show cause notice on the GST portal but did not serve the petitioner through any alternative prescribed mode such as registered post, email, or hand delivery. Since no response was filed by the petitioner, the authority proceeded ex parte and passed the assessment order. The petitioner challenged the order on the ground of violation of natural justice. The Hon'ble Court observed that Section 169(1) provides multiple modes of service of notice, and mere portal upload cannot be treated as sufficient compliance, particularly when the taxpayer has not acknowledged or responded. Effective service of notice is a condition precedent for initiating proceedings. Further, the Court noted that the impugned assessment order was passed without affording the petitioner a proper opportunity of hearing, thereby violating principles of natural justice. Accordingly, the Court quashed the assessment order and remanded the matter back to the authority, directing that a fresh opportunity be given to the petitioner by ensuring proper service of notice and granting personal hearing. The writ petition was disposed of in these terms.

Author's Comments:

This judgment highlights a persistent grey area in GST litigation—the validity of service of notices through the GST portal alone. While Section 169(1) of the CGST Act indeed lists 14 permissible modes of service, including "making it available on the common portal," courts have not been uniform in their interpretation. The Hon'ble Madras High Court has taken the view that mere portal upload is insufficient unless supplemented by another recognized mode of service such as email, registered post, or hand delivery, particularly when the taxpayer does not acknowledge or respond. The Court emphasized that effective service is a condition precedent for sustaining adjudication, and failure to ensure it vitiates the entire proceeding. On the other hand, the Kerala High Court in Koduvayur Constructions v. Assistant Commissioner-Works Contract [2023] 153 taxmann.com 333 held that it is the assessee's responsibility to check the GST portal, since Section 169(1)(d) expressly recognizes availability of orders/notices on the portal as valid service. This creates a divergence in judicial approach.

In Author's opinion, authorities must exercise due diligence in selecting the most effective method—one that ensures the notice actually reaches the intended recipient. Simply picking any option at random does not fulfil the requirement of proper service under the law. Furthermore, if the service of a SCN is disputed, the burden shifts to the Revenue to demonstrate that the SCN was duly served. Failure to discharge this fundamental burden constitutes a violation of due process, rendering the SCN unsustainable in judicial review. Without proper service, the entire proceeding stands vitiated, and the notice deserves to be set aside.

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Whether a composite show cause notice and composite order covering multiple assessment years under Section 74 of the GST Act is valid?

Yes. The Hon'ble Madras High Court in ***M/s Balamore Estates Private Limited, represented by its Managing Director, Dr. Madan Kumar David v. Assistant Commissioner of CGST & Central Excise [W. P. (MD) Nos. 20150 to 20155 of 2025, W. M. P. (MD) Nos. 15550, 15553, 15531, 15532, 15515, 15519, 15556, 15557, decided on 28.07.2025, 2025 (8) TMI 701 – Madras HC]*** upheld the validity of composite notices and orders issued under Section 74 of the CGST Act, aligning them with analogous provisions in the Central Excise Act, Finance Act, and Customs Act. In this case, the petitioner challenged assessment orders passed for the years 2017-18 to 2022-23 dated 31.12.2024 and the corresponding summaries dated 02.04.2025, on the ground that a single composite notice and order could not have been issued for multiple years. Reliance was placed on the decision of the Madras High Court in Titan Company Ltd. v. Joint Commissioner (W.P. Nos. 33120 & 33164 of 2023, decided on 18.12.2023, 2024(1) TMI 619), which was affirmed by the Division Bench on 21.03.2025, as well as similar rulings of the Karnataka High Court in M/s. Veremax Technologie Services Ltd. (W.P. No. 15810 of 2024, dated 04.09.2024, 2024 (9) TMI 1347) and Kerala High Court in Joint Commissioner (I&E) v. Lakshmi Mobile Accessories [(2025) 171 taxmann.com 214] and M/s. Tharayil Medicals v. Deputy Commissioner (W.A. No. 627 of 2025, dated 08.04.2025, 2025(4) TMI 1152). The petitioner contended that these decisions collectively recognized the requirement of separate notices for each tax period. The Madras High Court, after considering the arguments and precedents, observed that Sections 73 and 74 of the GST enactments are modelled on Section 11A of the Central Excise Act, Section 73 of the Finance Act, 1994, and Section 28 of the Customs Act, 1962, where composite notices covering multiple periods have been judicially accepted. The Court noted that the GST law does not mandate issuance of separate notices for each year where extended period of limitation under Section 74 is invoked. The practice of composite notices is not new in indirect tax jurisprudence and is permissible where a continuing pattern of fraud, suppression, or misstatement is alleged. The Court also considered the judgments relied upon by the petitioner but distinguished them, observing that while the Titan Company judgment suggested separate notices as a matter of prudence, it did not render composite notices invalid per se. Further, the Karnataka High Court's approach of quashing SCNs without liberty to re-issue was held to be too extreme, and the Bombay High Court in Riocare India Pvt. Ltd. v. AC CGST & C.Ex. (2025) 26 Centax 339 had taken a contrary view supporting composite action.

Accordingly, the Court held that there was no legal infirmity in issuance of a composite notice or passing a composite order for multiple financial years under Section 74, so long as the ingredients of fraud, wilful misstatement, or suppression are satisfied. The impugned orders dated 31.12.2024 and corrigendum dated 02.04.2025 were upheld, and the writ petition was dismissed.

Author's Comments:

The issue of whether a single composite show cause notice covering multiple financial years is valid or not is one of the most hotly contested questions in current GST litigation. Section 73(3)/74(3) does provide that for subsequent periods, a "statement" can be served which shall be deemed to be a notice under Section 73(1)/74(1). This suggests that the statute contemplates a notice being issued for the first period and statements for subsequent periods within the same cause of action. However, the Act also treats each financial year as a distinct unit for the purpose of limitation under Section 73(10)/74(10), which prescribes a separate three-year or five-year limitation from the due date for filing of annual return for each year. The argument against bunching is that clubbing multiple years in one SCN effectively overrides the statutory scheme which considers each financial year separately and could blur the computation of limitation period year-wise. The Constitution Bench decision in State of J&K v. Caltex (India) Ltd. (AIR 1966 SC 1350) held that assessments for different years must be kept separate. Though this was rendered in the context of a different law, its logic could be extended to GST, where annual returns and year-wise limitation are key compliance features.

However, the Madras High Court in this case has upheld composite SCNs where there is a continuing pattern of fraud, suppression, or misstatement spanning multiple years. The Court reasoned that such a course is consistent with earlier indirect tax jurisprudence under Central Excise, Customs, and Service Tax, where extended period SCNs routinely covered multiple years in one proceeding. The Court also distinguished Titan Company's case, holding that separate notices are not mandatory but only desirable as a matter of administrative prudence.

This divergence has created considerable uncertainty. Even within the Madras High Court, there are conflicting views—while this case allowed bunching, the same Court in Oriental Lotus Hotel Supplies (P.) Ltd. v. Joint Commissioner [2025] 177 taxmann.com 563 (Madras HC) disallowed such bunching and directed separate notices for separate years. Other High Courts, including Karnataka and Kerala, have taken slightly different positions, with some quashing SCNs altogether and denying liberty to re-issue.

In the author's opinion, this issue is ripe for resolution by the Supreme Court. GST, unlike the erstwhile excise and service tax laws, is a seamless tax on supply where transactions may straddle financial years—ITC may be availed in one year, reversed or disputed in another. Treating each year as watertight may defeat the object of Section 74 in addressing continuing fraud or suppression. At the same time, clubbing must not prejudice the taxpayer's ability to respond to year-wise allegations or confuse limitation computations.

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Can the department renew or reissue a provisional attachment under Section 83 of the CGST Act once the initial attachment has lapsed after one year under Section 83(2)?

No. The Hon'ble Supreme Court in ***Kesari Nandan Mobile v. Office of Assistant Commissioner of State Tax (2), Enforcement Division–5 [Civil Appeal No. 9543 of 2025, decided on 14.08.2025, 2025 (8) TMI 992 – Supreme Court]*** held that once a provisional attachment order issued under Section 83(1) lapses by operation of law after the one-year period prescribed under Section 83(2), the revenue authorities cannot issue a fresh provisional attachment or renew the earlier order. In this case, the petitioner's bank accounts were provisionally attached by the revenue under Section 83(1) of the CGST Act during the pendency of proceedings. The attachment continued beyond one year without renewal and, therefore, stood terminated by virtue of Section 83(2). Subsequently, the department sought to issue fresh attachment orders covering the same accounts, effectively seeking to continue the earlier measure. The petitioner challenged these actions on the ground that once the statutory period of one year expired, the attachment ceased automatically, and any attempt to reissue or renew the order would render Section 83(2) nugatory.

The Hon'ble Supreme Court agreed with the petitioner and quashed the impugned attachment orders. The Court observed that Section 83(2) provides a clear statutory safeguard by prescribing that every provisional attachment order shall cease to have effect after one year. Allowing the authorities to reissue or extend attachments after expiry would defeat the legislative intent and virtually nullify the limitation built into the statute. The Court emphasized that provisional attachment is a drastic measure affecting the fundamental right to carry on business, and must therefore be exercised strictly in line with the statutory framework. Consequently, the Court directed that the petitioner's bank accounts, which were frozen pursuant to the invalid orders, be unfrozen and made fully operable forthwith upon production of the judgment.

Author's Comments:

This landmark judgment by the Supreme Court reinforces the principle that provisional attachment under Section 83 of the CGST Act is an exceptional power, meant to be exercised sparingly and strictly within the statutory time frame. The one-year limit prescribed under Section 83(2) is a substantive safeguard, not a mere procedural formality. Once this period lapses, the attachment ceases automatically, and any attempt to reissue or "renew" the same attachment on identical facts is legally untenable.

In the author's view, the ruling brings much-needed clarity to a common departmental practice of mechanically reissuing fresh orders after the expiry of the initial one-year period, thereby defeating the legislative intent behind Section 83(2). The judgment underscores that a fresh provisional attachment can only be justified where there is new material or changed circumstances that objectively indicate a fresh threat to the interests of revenue.

Importantly, the judgment distinguishes between preventive measures under Section 83 and recovery proceedings under Section 79. Once adjudication is complete and demand has attained finality, the appropriate route is recovery under Section 79, not repeated provisional attachment under Section 83. Over-reliance on Section 83 post-adjudication amounts to a misuse of power and an infringement of the taxpayer's right to carry on business.

The issue also exposes a significant lacuna in GST law — the absence of an appeal mechanism against provisional attachment, despite Section 121 not explicitly excluding it from appealable orders. This forces taxpayers to approach High Courts under Article 226, increasing litigation costs and clogging writ jurisdiction. The legislature may need to step in to clarify or provide a limited right of appeal or review against such attachment orders.

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Whether a rectification order under Section 161 can be passed without granting a hearing and recording reasons, especially when the rectification adversely affects the assessee?

No. The Hon'ble Delhi High Court in ***Raman Enterprises v. Commissioner of SGST Delhi & Anr. [W.P. (C) 1349/2025; 2025 (8) TMI 1461 – Delhi HC (DB); decided on 22.08.2025]*** held that a rectification order passed without granting hearing or assigning reasons is unsustainable in law, as it violates the mandate of the third proviso to Section 161 of the CGST/SGST Act. The petitioner challenged a rectification order dated 28.06.2024 on the ground that it was passed mechanically, without affording an opportunity of hearing and without recording reasons. The petitioner pointed out that a reply had already been filed before the authority, yet the rectification order simply rejected the application without engaging with the contentions. The department argued that the writ petition suffered from delay, as the impugned order was challenged belatedly and without adequate explanation. The High Court observed that even though the delay was inadequately explained, the rectification order could not be sustained because it lacked compliance with statutory and constitutional safeguards. The third proviso to Section 161 of the Act specifically mandates that where rectification adversely affects an assessee, a reasonable opportunity of hearing must be granted. The Court emphasized that a rectification order rejecting the assessee's request or adversely modifying an assessment must also contain reasons, failing which it stands vitiated for violation of natural justice. Accordingly, the Court set aside the rectification order dated 28.06.2024 and disposed of the writ petition, while observing that statutory authorities must act in conformity with the requirements of Section 161 and principles of natural justice.

Author's Comments:

Section 161 of the CGST Act is a narrow and exceptional power meant only for rectifying errors apparent on the face of record—that is, patent, obvious, and self-evident mistakes that do not require detailed examination, fresh reasoning, or reappreciation of evidence. This provision cannot be invoked as a substitute for review or as a backdoor method to reopen concluded findings.

In this case, the rectification application was effectively a disguised appeal. The petitioner was seeking reconsideration of facts and grounds already adjudicated, which is impermissible under Section 161. Once a proper officer has passed an adjudication order under Sections 73/74, the only statutory remedy is an appeal under Section 107 along with the mandatory pre-deposit. Using Section 161 to revisit such findings not only undermines the finality of adjudication but also circumvents the limitation period prescribed for appeals.

That said, the judgment rightly faulted the department for passing the rectification order in a mechanical manner without granting a hearing or recording reasons, as required by the third proviso to Section 161. Even when the rectification request is without merit, a speaking order rejecting the same must be issued, showing application of mind.

In the author's view, this case highlights two equally important lessons — taxpayers must avoid misusing Section 161 as an "escape route" to buy time and delay the appellate process, and authorities must exercise discipline by rejecting such applications with reasoned orders rather than perfunctory dismissals. This will prevent unnecessary writ litigation and preserve the sanctity of statutory timelines under Section 107.

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Whether an order under Section 74(10) becomes invalid if Form DRC-07 is uploaded after the limitation period?

No. The Hon'ble Delhi High Court in ***Rishi Enterprises Through Its Proprietor Rajeev Kumar Goel v. Additional Commissioner, Central Tax Delhi North & Anr. [W.P. (C) 4374/2025 & CM APPL. 20152/2025; 2025 (8) TMI 1628 – Delhi HC (DB); decided on 20.08.2025]*** held that issuance of an order under Section 74(10) must be within the prescribed limitation period, but the subsequent uploading of the DRC-07 summary on the portal may occur later. Deemed service under Section 169, including through email, is valid for the purposes of issuance. The petitioner challenged the validity of proceedings under Section 74, arguing that the adjudication order was not uploaded on the GST portal in time and that the delayed upload of Form DRC-07 rendered the order time-barred. It was further contended that limitation under Section 74(10) had expired and that the department's reliance on deemed service was misplaced. The High Court observed that the statutory requirement is that the order under Section 74(10) must be issued within the limitation period. Uploading of DRC-07 is only a summary step to be completed thereafter and does not control the validity of the order itself. The Court further held that service of the order can be validly effected by any of the modes prescribed under Section 169, including deemed service through email communication. In the present case, the allegations of fraud, wilful misstatement, or suppression had been recorded on file, thereby justifying the extended limitation under Section 74. On this basis, the Court dismissed the writ petition. However, it granted liberty to the petitioner to pursue an appeal under Section 107 of the Act, with the condition of making the requisite pre-deposit by 30 September 2025. The Court directed that the Appellate Authority must adjudicate the appeal on merits and not dismiss it merely on the ground of limitation. Accordingly, the writ petition was dismissed, and the appellate remedy under Section 107 was affirmed as the proper course.

Author's Comments:

This judgment draws an important distinction between the "issuance" of an order under Section 74(10) and the subsequent uploading of DRC-07, which is merely a procedural step to operationalize recovery and facilitate appeal filing on the portal. While Rule 142(5) mandates electronic issuance of DRC-07 and Rule 142(6) treats it as the recovery notice, its delayed upload cannot render the adjudication order itself time-barred. Section 74(10) speaks only of the order's issuance within limitation — once the order is duly signed and communicated (including by email under Section 169), the statutory requirement is met.

That said, from a procedural fairness perspective, portal-based processes are designed so that DRC-07 becomes the trigger for recovery and appeal. Absence or delay in DRC-07 can cause prejudice to the taxpayer by creating uncertainty over timelines for appeal and payment of pre-deposit. A more taxpayer-centric approach would be for authorities to ensure that DRC-07 is generated contemporaneously with the adjudication order, to avoid future litigation over limitation and recovery.

In the author's opinion, the petitioner in this case missed a stronger argument: combined adjudication of multiple noticee's in a single order can offend principles of natural justice. Each noticee's liability, evidence, and defence must be considered independently. A single composite order against unrelated parties risks conflating their cases, leading to practical issues — e.g., one noticee paying the demand while another appeals against the same order — an outcome that is legally impermissible.

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Whether issuance of multiple SCN's on the same subject and period by different authorities is valid when a stay order is already operating in respect of the matter?

No, The Hon'ble Bombay High Court in ***M/s. HM Leisure v. Assistant Commissioner of CGST, Div.-1 & 2 & Ors. [Writ Petition No. 236 of 2025, decided on 28.07.2025, 2025 (8) TMI 67 – Bombay HC]*** held that issuance of multiple show cause notices covering the same issue and period amounts to multiplicity of proceedings and harassment of the taxpayer, especially when one of the notices is already stayed by a High Court. In this case, the Petitioner, engaged in the business of leisure and entertainment services, was issued a show cause notice by the Directorate General of GST Intelligence (DGGI) covering an all-India jurisdiction, including its branch in Goa. The Karnataka High Court had already granted a stay on the said SCN. Despite this, the local CGST authorities in Goa issued another SCN and proceeded to adjudicate the matter, ultimately passing an order confirming demand. The Petitioner contended that this amounted to parallel adjudication on the same issue, in violation of judicial discipline and the principle laid down in Kusum Ingots & Alloys Ltd. v. Union of India 2004(4)TMI 342-SUPREME COURT (LB), where once a High Court grants a stay, it applies throughout India. The Bombay High Court observed that multiplicity of proceedings for the same period and subject is impermissible under law and causes undue hardship to taxpayers. Since the Karnataka High Court had already stayed the SCN issued by DGGI, the Respondent authorities in Goa ought to have refrained from proceeding further. The adjudication order passed by the Respondent was thus held to be in conflict with the subsisting stay order and contrary to the binding principle in Kusum Ingots. Accordingly, the impugned order was set aside, and the proceedings before Respondent No. 1 were directed to be kept in abeyance. The writ petition was allowed in favour of the Petitioner, thereby preventing duplication of adjudication on the same issue.

Author's Comments:

The Bombay High Court's ruling is another important affirmation of the principle against multiplicity of proceedings, particularly when one set of proceedings has already been stayed by a High Court. Section 6(2)(b) of the CGST Act is designed to prevent duplicative adjudication by ensuring that once one authority initiates proceedings on a particular subject matter, another authority (even same department) cannot simultaneously pursue proceedings on the same cause. However, the application of this bar requires careful scrutiny of the "same subject matter" test.

In the present case, while the Court quashed the Goa proceedings due to the subsisting stay order of the Karnataka High Court, an interesting nuance arises. The CGST Goa proceedings included allegations on video gaming services, ITC reversals, and differential tax demand—matters that arguably do not squarely overlap with the DGGI Mumbai SCN. This raises the interpretational question whether Section 6(2)(b) can be invoked mechanically without a deeper analysis of whether both SCNs indeed concerned the same subject matter. The Court appears to have leaned more on the principle of judicial discipline (Kusum Ingots ruling 2004(4)TMI 342-SUPREME COURT (LB) that an HC stay operates pan-India) than on a strict Section 6(2)(b) analysis.

Another striking feature here is the jurisdiction assumed by DGGI Mumbai. Under the GST framework, jurisdictional assumption by DGGI typically flows from an authorisation under Section 67 by issuance of form INS-01. If no such INS-01 existed in this case, the very initiation of SCN by DGGI Mumbai is open to challenge.

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Whether provisional attachment of a taxpayer's bank account can continue once an appeal has been filed with the mandatory pre-deposit under Section 107 of the CGST Act?

No, The Hon'ble Delhi High Court in ***M/s MJ Bizcrafts LLP v. Central Goods and Services Tax Delhi South Commissionerate [W.P.(C) 9061/2025 & CM APPL. 38572/2025, decided on 10.07.2025, 2025 (8) TMI 78 – Delhi HC; 2025: DHC:88597-DB]*** held that once an appeal is filed and the mandatory pre-deposit is made, recovery proceedings are deemed to be stayed under Section 107(7), and provisional attachment of bank accounts cannot be sustained. In this case, the Petitioner's bank account had been provisionally attached on 29.05.2025 pursuant to an Order-in-Original dated 31.01.2025. The Petitioner challenged the attachment on the ground that it had already filed an appeal against the said order and deposited 10% of the disputed tax as mandated under Section 107(6) of the CGST Act. The Petitioner relied upon the Supreme Court's decision in Radha Krishnan Industries v. State of Himachal Pradesh 2021 (4) TMI 837 - Supreme Court and the Delhi High Court's ruling in Unity Traders v. Principal Additional Director, DGGI & Anr. 2025 (6) TMI 1337 - DELHI HIGH COURT, both of which emphasized that once an appeal is filed with pre-deposit, recovery proceedings for the balance are deemed to be stayed. The Department confirmed that an appeal had indeed been filed and the requisite pre-deposit made. Upon examining Section 107(7), the Court held that the provision clearly stipulates that recovery proceedings for the balance amount shall be deemed to be stayed upon pre-deposit. Therefore, continuation of the provisional attachment was unsustainable. The Court set aside the attachment order, directed ICICI Bank to defreeze the Petitioner's current and FD accounts with immediate effect, and permitted the Petitioner to operate its accounts freely. Accordingly, the writ petition was allowed.

Author's Comments:

This judgment yet again underscores the fine but crucial distinction between provisional attachment under Section 83 and recovery proceedings under Section 79 of the CGST Act. While Section 83 is designed to operate as a temporary protective measure, it cannot be converted into a substitute for recovery, especially when statutory appellate remedies have been availed with the mandatory pre-deposit under Section 107(6). Once such deposit is made, Section 107(7) expressly mandates a deemed stay on recovery, and therefore, any continuance of bank attachment would directly militate against the statutory scheme.

The author is of the view that provisional attachment is not a recovery mechanism, but merely a "preventive lien" to safeguard revenue interests during the pendency of proceedings. It is not a conclusive declaration of liability. The moment adjudication is done or it culminates in an appeal—where the taxpayer has complied with the pre-deposit condition—the logic of attachment ceases to exist. In fact, courts have increasingly viewed prolonged or unnecessary continuance of such attachment, particularly of bank accounts, as tantamount to "coercive appropriation" or even "institutionalised confiscation" without due process.

What makes Section 83 especially draconian is that orders passed thereunder are not appealable, although they are conspicuously absent from the list of non-appealable orders under Section 121 of the CGST Act. The only safeguard built into the statute is Section 83(2), read with amended Rule 159(2), which provides that provisional attachment ceases automatically after one year. However, in practice, many attachments are not released promptly and continue indefinitely.

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Whether issuance of a single consolidated SCN covering multiple years is valid when the core allegation relates to fraudulent availment of ITC?

Yes. The Hon'ble Delhi High Court in ***M/s. Raghunath Enterprises v. Additional Commissioner, CGST, Delhi North [W.P. (C) 5352/2025 & CM APPL. 24389/2025; 2025 (8) TMI 1392 – Delhi HC (DB); decided on 20.08.2025]*** upheld the validity of a consolidated show cause notice covering multiple tax years where the principal allegation was fraudulent availment of ITC exceeding ₹89 crores. The petitioner challenged a single show cause notice issued under Section 74 of the CGST Act on the ground that it improperly consolidated demands across multiple financial years, contrary to the statutory scheme which contemplates year-wise adjudication. It was contended that such consolidation prejudiced the petitioner's ability to defend itself effectively and amounted to non-application of mind by the authority. The High Court observed that the gravamen of the allegations against the petitioner was fraudulent availment of ITC through fake transactions. Since the core charge was common across years, the department was justified in consolidating demands into a single show cause notice, rather than issuing multiple notices for each financial year. The Court clarified that such consolidation does not vitiate the proceedings so long as the assessee is afforded an opportunity to contest each year's figures during adjudication. On facts, the Court noted that the petitioner had an efficacious alternative remedy by way of appeal under Section 107 of the CGST Act. Therefore, while rejecting the petitioner's challenge to the notice, the Court disposed of the writ petition with liberty to file an appeal by 30th September 2025, subject to fulfillment of pre-deposit requirements. Accordingly, the writ petition was disposed of, upholding the consolidated SCN and directing the petitioner to pursue the appellate remedy.

Author's Comments:

The controversy regarding permissibility of consolidated SCNs in cases involving fraudulent ITC availment, is far from being settled. Section 73(3)/74(3) contemplates that a "notice" is to be issued for the first tax period and "statements" for subsequent periods, each deemed to be a notice. This language, coupled with Section 73(10)/74(10) which prescribes a separate limitation period for each year, indicates that the legislature treats each financial year as a distinct unit. Clubbing multiple years into a single SCN risks confusing limitation computation and could be challenged as non-compliant with the statutory framework.

Divergent views from different High Courts exacerbate the uncertainty. While M/s Balamore Estates (2025 (8) TMI 701 Madras HC) and the present judgment have upheld composite SCNs where continuing fraud is alleged, other High Courts — including in Oriental Lotus Hotel Supplies (P.) Ltd. (2025 (8) TMI 1055 Madras HC) — have held that separate notices must be issued year-wise. Some courts have gone a step further by quashing consolidated notices outright, denying the department even the liberty to re-issue them.

In the author's view, the issue is ripe for final resolution by the Supreme Court. GST is a seamless tax where transactions, ITC availment, and reversals often cut across financial years. Treating each year as a watertight compartment may undermine the object of Section 74 in curbing continuing fraudulent practices. At the same time, the rights of taxpayers must be protected by ensuring that consolidation does not prejudice their ability to defend themselves, that limitation is correctly applied for each year, and that adjudication remains transparent and precise. Until clarity emerges from the Apex Court, taxpayers facing consolidated SCNs should insist on detailed year-wise break-ups and raise specific limitation objections wherever available.

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Whether the 60-day limit under Section 54(7) of the WBGST Act is mandatory, and can refund be denied beyond verifying tax payment?

Yes, The Hon'ble Calcutta High Court in the case of ***Suraj Mangar v. Assistant Commissioner of West Bengal State Tax & Ors. [M.A.T. No. 104 of 2024 with IA No: CAN 1 of 2024, arising out of W.P.A. No. 1905 of 2023, decided on 30.07.2025; 2025 (8) TMI 241 – Calcutta HC]*** held that the 60-day time period prescribed under Section 54(7) of the WBGST Act, 2017 for disposal of refund applications is mandatory in nature. The Court also held that refund cannot be denied by questioning the receipt of goods by the importer when payment of duties/taxes is conclusively established by customs documents. In this case, the Petitioner had applied for refund of GST paid, supported by requisite customs and duty payment documents. The Proper Officer, however, failed to pass an order within the statutory period of 60 days as required under Section 54(7). Eventually, the claim was rejected on the ground that the goods in question were allegedly not received by the importer, and this rejection was upheld by the appellate authority. The Petitioner challenged the rejection, contending that the authority exceeded its jurisdiction by examining issues beyond the statutory scope, and that the delay itself vitiated the proceedings.

The Hon'ble Court observed that Section 54(7) is couched in mandatory terms, requiring refund orders to be passed within 60 days from the date of receipt of the application. Non-compliance with this statutory mandate renders the order unsustainable. The Court further held that the refund adjudicating authority is only required to verify whether the duties/taxes have been paid, which was conclusively shown through customs documents. Any further inquiry into the actual receipt of goods by the importer was held to be beyond the jurisdiction of the officer. Accordingly, the Division Bench allowed the intra-court appeal, set aside the orders of rejection as well as the single bench judgment affirming them, and directed the grant of refund to the Petitioner.

Author's Comments:

The Proper Officer, while processing refund applications under Section 54, is confined to examining the eligibility of refund only. He is not authorized to travel beyond the scope of refund application by raising collateral issues such as the actual receipt of goods. Such matters, if at all, fall within the domain of Section 67 (inspection, search, and seizure) or by way of a separate show cause notice under Section 74. In this case, the authority clearly exceeded its jurisdiction, rendering the order unsustainable.

It is noteworthy that CBIC's Master Circular No. 125/44/2019–GST permits issuance of a composite demand notice in Form RFD-08 read with Sections 73/74, but even that power is restricted to cases involving ineligible ITC claims. Extending such reasoning to question receipt of goods in refund proceedings is legally untenable. Importantly, the Court has reaffirmed that the 60-day time limit under Section 54(7) is mandatory in nature and must be strictly adhered to. Delay or non-compliance with statutory vitiates the entire refund proceeding.

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Whether limitation for refund of tax wrongly paid under wrong head starts from date of original payment or subsequent correct payment?

The Hon'ble Patna High Court in the case of ***M/s Sai Steel v. State of Bihar & Ors. [Civil Writ Jurisdiction Case No. 13163 of 2024, decided on 28.07.2025, 2025 (8) TMI 235 – Patna HC]*** held that the limitation period for applying refund starts from the date of deposit of tax under the correct head. In this case, the petitioner had originally treated certain interstate transactions as intrastate supplies and deposited tax under CGST and SGST in January 2018. During audit, it was pointed out that the transactions were interstate in nature, and accordingly, the petitioner deposited IGST of ₹5,08,195/- through DRC-03 on 04.03.2023. The petitioner thereafter filed a refund claim for the wrongly paid CGST and SGST on 17.01.2024. The authorities, while admitting the eligibility of refund, rejected the claim holding it time-barred under Section 54 of the CGST/BGST Act by reckoning limitation from January 2018. The High Court observed that Section 77 of the CGST Act and Section 19 of the IGST Act specifically provide for refund of tax wrongly paid under the wrong head. Further, CBIC Circular No. 162/18/2021-GST dated 25.09.2021 and Rule 89(1A) of the CGST Rules clarified that the limitation of two years must be computed from the date of payment under the correct head (here, IGST paid on 04.03.2023) and not from the date of the earlier mistaken payment. The Court held that the rejection of refund by treating limitation from January 2018 would render Section 77 and the Circular redundant. Accordingly, the Court quashed the refund rejection order, directed refund of the wrongly paid CGST and SGST along with 6% interest (after three months of the refund application) and imposed litigation costs of ₹10,000/- on the department.

Author's Comments:

The insertion of Rule 89(1A) through Notification No. 35/2021-CT dated 24.09.2021 has brought much-needed clarity by prescribing that the limitation period of two years for refund under Section 77 of the CGST Act/Section 19 of the IGST Act will run from the date of payment under the correct head. For cases where the correct tax had already been paid before the notification date, the law generously allows two years from 24.09.2021 itself. This framework prevents genuine taxpayers from being deprived of refunds merely due to technical mistakes in classification of supply as inter-State or intra-State.

This decision has reinforced this principle, harmonizing Section 77 with CBIC Circular No. 162/18/2021-GST and Rule 89(1A). By holding that limitation starts from the date of correct payment (IGST in this case), the Court has ensured that the substantive right to refund is not defeated by a rigid or literal interpretation of Section 54. Importantly, the Court went further to impose costs on the department, signaling judicial disapproval of mechanical refund rejections that ignore beneficial circulars and legislative intent.

It is worth noting that the Jharkhand High Court in Gajraj Vahan (P.) Ltd. 2023 (2) TMI 1410 - JHARKHAND HIGH COURT, had also emphasized that Circular No. 162/18/2021-GST operates as a benevolent measure, extending the limitation window for taxpayers who had deposited the correct tax before the notification.

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Whether a writ petition is maintainable against an adjudication order confirming fraudulent availment of ITC on bogus invoices without allowing cross-examination?

No, The Hon'ble Delhi High Court in ***Ambika Traders v. Additional Commissioner, Adjudication, DGGSTI, CGST Delhi North [W.P.(C) 4853/2025, CM APPL. 22194/2025 & CM APPL. 22195/2025, decided on 29.07.2025; 2025 (8) TMI 315 – Delhi HC]*** held that allegations of fraudulent ITC availment based on invoices from non-existent firms are essentially factual in nature, requiring appellate scrutiny, and cannot be re-examined in writ jurisdiction. In this case, the Petitioner challenged the adjudication order which confirmed substantial tax demand and penalty under Section 74 of the CGST Act on the ground of fraudulent availment and utilization of ITC through invoices issued by non-existent suppliers. The Petitioner argued that principles of natural justice had been violated, particularly since cross-examination of third-party witnesses was not allowed, and that consolidated proceedings covering multiple years were impermissible. The Hon'ble Court noted that the Adjudicating Authority had relied primarily on the Petitioner's own purchase records and returns, which revealed a consistent pattern of transactions with non-existent entities. Since the incriminating evidence stemmed from the Petitioner's own documents, the plea for cross-examination was held to be inconsequential. The Court further observed that consolidated scrutiny across financial years was necessary to establish the systematic nature of the fraud. Holding that writ jurisdiction is not an appellate forum to reappraise factual findings, the Court declined to interfere with the adjudication order. However, recognising that the order was appealable under Section 107 of the CGST Act, the Court granted liberty to the Petitioner to file an appeal with the requisite pre-deposit by 31st August 2025, and directed that such appeal be decided on merits without limitation objections. Accordingly, the writ petition was dismissed as not maintainable, with liberty to avail the statutory appellate remedy.

Author's Comments:

This case reflects a recurring problem in GST litigation—taxpayers rushing to writ courts with incomplete defenses, instead of building a robust case before the concerned authority. In Authors view, the petitioner's strategy was flawed. Before invoking writ remedy, the petitioner should have properly exercised the rights available during adjudication. Specifically, an application ought to have been filed under Section 67(10) of the CGST Act read with Section 185(5) of the BNSS, 2023, which imposes a responsibility on the "Commissioner" to furnish all the material to the noticee for preparing an effective defense. Alongside the request for cross-examination, the petitioner should have insisted upon disclosure of crucial documents, such as:

- Copies of SCNs issued to the alleged bogus firms supplying invoices.
- Details of demands raised against those suppliers.
- Information on whether those suppliers had filed returns and discharged taxes during their period of registration.
- Status of adjudication and appeals, if any, against those suppliers.
- Details of recovery actions initiated under Sections 83 and 93 of the CGST Act.
- Amounts recovered or credits reversed from such suppliers.
- Reasons for not including the SCNs against suppliers as relied-upon documents.

These disclosures are critical because the validity of demand against the recipient is closely linked to the proceedings against the suppliers. Without them, the adjudicating process risks being reduced to an armchair inquiry, relying on assumptions and conjectures rather than concrete evidence.

Another important flaw in departmental practice is evident here. In fake billing cases, the penalty is typically imposed under Section 74 which is corresponding to Section 122(2)(b). However, when the allegation is of "good-less invoices," the correct charging provision should be Section 122(1), which contains 21 specific clauses, each with distinct ingredients. Failure to invoke the proper penalty provision undermines the sustainability of the allegation itself.

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Whether ITC reversal under Section 16(2)(c) is valid when the supplier failed to pay tax, and can penalty be imposed without pre-intimation in DRC-01A?

Yes, The Hon'ble Gujarat High Court in ***M/s RV Enterprises and Anr. v. State of Gujarat and Ors. [R/Special Civil Application No. 20134 of 2023, decided on 19.06.2025; 2025 (8) TMI 308 – Gujarat HC]*** upheld the reversal of input tax credit and cancellation of GST registration under Section 16(2)(c) of the CGST Act, holding that the petitioner was not entitled to ITC since the supplier was found to be non-genuine and had not discharged its tax liability. In this case, the petitioner had availed ITC on the strength of invoices issued by a supplier who was subsequently found to be fictitious and non-existent. The Department disallowed the ITC and also levied penalty. The petitioner challenged the order on the ground that it had acted bona fide and that the denial of ITC without fault was unjustified. Reliance was also placed on certain judgments of the Calcutta High Court where ITC denial was disapproved in the absence of any inquiry against the supplier. The Court, however, distinguished those cases, observing that in the present matter, a detailed inquiry was indeed conducted against the supplier, who was found to be a fake entity and had not discharged any tax liability. Since Section 16(2)(c) mandates actual payment of tax by the supplier as a precondition for availing ITC, the denial of credit was legally correct. At the same time, the Court found that the penalty imposed was procedurally flawed, as no prior intimation in Form GST DRC-01A had been issued to the petitioner. This omission violated principles of natural justice. Accordingly, while upholding the ITC reversal and cancellation of registration, the Court quashed the penalty component, thereby modifying the impugned order.

Author's Comments:

In this case, the department had conducted a detailed inquiry and established that the supplier was a fictitious entity. Thus, ITC was alleged to be ineligible. That said, the revenue cannot approbate and reprobate on the same issue. If the department alleges fraud or bogus invoicing, the proceedings ought to be initiated under Section 74, not under Section 73, since fraud is fundamentally incompatible with the scope of Section 73. The Court brushed aside this plea, but in Author's view, this remains a live ground for appellate challenge.

Further, the petitioner should have demanded disclosure of critical documents to strengthen its defense, such as:

- Copies of SCNs issued to the alleged bogus supplier,
- Nature of demands raised against such supplier,
- Whether the supplier ever filed returns and discharged tax,
- Status of adjudication/appeal proceedings against the supplier,
- Details of recovery action under Sections 83 and 93, and
- Any amounts recovered or credits reversed.

These disclosures are essential because the liability of the recipient is intrinsically linked to proceedings against the supplier. Without such transparency, adjudication risks degenerating into an armchair exercise, resting on conjecture rather than concrete evidence.

On the second issue, the Court quashed the penalty for failure to issue Form DRC-01A. This aligns with the Andhra Pradesh High Court's ruling in Sri Shakthi Communications v. Assistant Commissioner of State Taxes[2025 (7) TMI 329], where the absence of DRC-01A was held to be a fatal procedural defect. In Author's opinion, while issuance of DRC-01A under Rule 142(1A) read with Sections 73(5)/74(5) remains mandatory, not every omission should vitiate proceedings, particularly in cases under Section 73 where penalty amount remains the same. The defect should be treated as curable unless it results in demonstrable prejudice to the assessee.

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Whether delay of 51 days in filing appeal under Section 107 of the CGST Act can be condoned on showing genuine reasons?

Yes, The Hon'ble Madras High Court in ***M/s Annam Steels v. Deputy State Tax Officer & Ors. [W.P. No. 24773 of 2025 & W.M.P. Nos. 27917 & 27924 of 2025, decided on 11.07.2025, 2025 (8) TMI 393 – Madras HC]*** condoned a delay of 51 days in filing the appeal, holding that sufficient cause had been shown by the petitioner. In this case, the petitioner challenged the rejection of his appeal by the Appellate Authority on the ground of delay beyond the statutory limitation. The petitioner explained that the delay occurred due to genuine difficulties in collecting necessary documents, reconciling business records, and obtaining proper legal advice before filing the appeal. The Revenue contended that the delay was avoidable and hence not condonable. The Court, after considering the facts, observed that the reasons cited by the petitioner were bona fide and not indicative of negligence or deliberate inaction. It emphasized that procedural timelines should not defeat substantive justice when sufficient cause is demonstrated. The Court accordingly condoned the delay of 51 days and restored the appeal on the file of the Appellate Authority, subject to the condition that the petitioner deposit ₹5,000 to the credit of a specified hospital account within two weeks. The matter was then remitted to the Appellate Authority for adjudication on merits.

Author's Comments:

Section 107(4) provides a strict limitation—3 months + 1-month condonable delay—beyond which the Appellate Authority is powerless to entertain an appeal. The statutory bar is absolute. This position has been consistently affirmed in Singh Enterprises v. CCE (2008), where the Supreme Court held that once the legislature prescribes a specific outer limit for filing an appeal, neither the appellate authority nor even the High Court exercising writ jurisdiction can override such limitation. Likewise, the Allahabad High Court in Yadav Steels (2024(2) TMI 1069) and Abhishek Trading Corporation (2024 (2) TMI 1214) has categorically ruled that the GST law is a self-contained code, and Section 5 of the Limitation Act cannot be invoked to extend the appeal period. Thus, while the Madras High Court's ruling provides relief in the interest of equity, its reasoning may not align with the binding precedent of the Supreme Court.

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Whether parallel proceedings can be initiated by both Central and State GST authorities on the same subject matter once proceedings have already been initiated by one authority under Section 6(2)(b) of the CGST Act?

No. The Hon'ble Chhattisgarh High Court in ***South Eastern Coalfields Limited v. Principal Commissioner, Additional Commissioner (Preventive), CGST, Assistant Commissioner, State GST and Others [WA No. 494 of 2023, decided on 22.07.2025, 2025 (8) TMI 558 – Chhattisgarh HC]*** dismissed the appeal and held that Section 6(2)(b) of the CGST Act, 2017 bars parallel proceedings by Central and State GST authorities on the same cause of action. In this case, the Central GST authorities had already initiated proceedings by conducting an inspection under Section 67(1) and had also issued a memo for payment of RCM liability. Despite this, the State GST authorities attempted to initiate parallel proceedings on the same subject matter. The petitioner contended that such duplication of proceedings violated the statutory mandate under Section 6(2)(b). The Court observed that once CGST authorities had assumed jurisdiction and initiated action, the SGST authorities could not initiate separate proceedings on the same cause of action. The State proceedings had already been closed without adjudication, and therefore, the subsequent SCN and adjudication by the Central GST authorities could not be challenged on the ground of jurisdiction. The Court concluded that Section 6(2)(b) is categorical in prohibiting simultaneous proceedings by both CGST and SGST authorities in respect of the same issue. Since the impugned proceedings had been validly initiated and pursued by the Central GST authorities, the appeal was found to be without merit and was dismissed accordingly.

Author's Comments:

Section 6(2)(b) of the CGST Act lays down a clear bar on parallel or duplicative proceedings by Central and State authorities on the same subject matter. However, the interpretation of what constitutes "proceedings" is often the contentious point. In this case, CGST (Preventive) initiated inquiry under section 67 on 27.08.2021. An inquiry or inspection under section 67, by itself, is only an investigative step; it does not automatically amount to "proceedings" unless it culminates into a show cause notice in Form DRC-01A or DRC-01.

On the other hand, when SGST authorities later issued a show cause notice on the same cause of action, that issuance did amount to initiation of proceedings. Once such proceedings were dropped, the embargo under section 6(2)(b) was triggered, and in the author's view, any subsequent SCN on the same matter by CGST authorities would be jurisdictionally invalid. Section 6(2)(b) is meant to prevent multiplicity of proceedings, double jeopardy, and harassment of taxpayers through overlapping jurisdiction.

The Court, however, upheld the validity of CGST action by noting that State proceedings had been closed without adjudication and that CGST had already assumed jurisdiction. This interpretation gives primacy to the first authority to act and appears to overlook the practical consequences of allowing one wing to revive or re-initiate proceedings after another has formally dropped them.

In the author's opinion, the correct reading of section 6(2)(b) is that once any authority—Central or State—issues and concludes proceedings on a cause of action, the other is barred from re-opening the same issue. Inspection or inquiry is only preparatory, but issuance and dropping of a show cause notice constitutes proceedings for the purpose of section 6(2)(b). Therefore, subsequent action by CGST after SGST proceedings had been dropped should be treated as jurisdictionally flawed.

Similarly, The Hon'ble Telangana High Court in Sensation Infracon Pvt. Ltd. v. State of Telangana [2025 (8) TMI 1129] held that investigation by the DGGI cannot be treated as commencement of proceedings under Section 6(2)(b) of the CGST Act, and that subsequent adjudication proceedings under Section 73 by the State GST authorities are valid.

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Whether an assessment order in Form GST DRC-07 issued without the signature of the assessing officer is valid under the GST law?

No. The Hon'ble Andhra Pradesh High Court in **Viswam Constructions v. Assistant Commissioner (ST) (FAC), Union of India, State of Andhra Pradesh & CBIC *[W.P. No. 18976 of 2025, decided on 23.07.2025, 2025 (8) TMI 601 – Andhra Pradesh HC]*** held that an assessment order issued in Form GST DRC-07 without the signature of the assessing officer is invalid and cannot be sustained. In this case, the petitioner challenged the validity of the assessment order on the ground that the order uploaded in Form GST DRC-07 did not contain the signature of the assessing officer, thereby rendering it defective in law. The petitioner argued that such an unsigned order is a nullity and cannot be enforced. The Department, however, contended that the assessment proceedings were valid and that the omission was only a technical lapse. The Court observed that the requirement of an assessing officer's signature is not a mere formality but a mandatory statutory safeguard that authenticates the order and signifies that it has been duly passed by the competent authority. Relying on established precedents, the Court held that the absence of signature renders the order invalid. However, it clarified that this would not prevent the Department from passing a fresh assessment order in accordance with law. Accordingly, the impugned order was set aside, and liberty was granted to the respondent authorities to issue a proper notice and pass a fresh signed assessment order. For computation of limitation, the period between the date of the invalid order and the date of receipt of this judgment was directed to be excluded.

Author's Comments:

This decision once again highlights how courts treat procedural lapses—by striking down the defective order, but simultaneously allowing the department to cure the defect by passing a fresh order. From a taxpayer's perspective, such outcomes rarely provide lasting relief, as the revenue is given another chance for re-adjudication.

It is also important to distinguish between the order itself and the summary in Form DRC-07. DRC-07 is merely a statutory summary meant for system recording of demand and recovery. The real adjudicatory document is the speaking order under section 73 or 74. If that order is signed and valid, the absence of signature on DRC-07 may be treated as a technical lapse that does not prejudice the taxpayer. Uploading DRC-07 on the portal, which can only be done by the proper officer, itself carries an element of authentication. In such cases, seeking confirmation from the officer would be a more practical remedy than pursuing a writ challenge.

That said, the Court in this case treated the signature requirement as a mandatory safeguard and invalidated the DRC-07. While this strict approach upholds procedural discipline, it may encourage unnecessary litigation where the core order is otherwise valid. In the author's view, not every omission or defect should be treated as fatal. Courts should assess whether there is actual prejudice to the taxpayer before quashing proceedings.

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Whether interest on delayed GST refunds should be calculated from the date of first refund application or from the date of refund application pursuant to Appellate approval?

The Hon'ble Bombay High Court in ***Lupin Limited v. Union of India, Through Revenue Secretary, Department of Revenue, Ministry of Finance, New Delhi, Additional Commissioner [Writ Petition No. 610 of 2024, decided on 05.08.2025, 2025 (8) TMI 703 – BHC; 2025: BHC-GOA:1458-DB]*** held that interest on delayed tax refunds must be calculated from the date of receipt of the refund application and not from the date of refund approval by the Appellate authority. In this case, Lupin Limited had filed refund claims which were partially allowed and rest of the amounts were rejected as inadmissible claim.
This resulted in two distinct appeals being filed before the Appellate Authority, i.e. the Commissioner (Appeals), CGST and Customs Goa, as the Assistant Commissioner had allowed the refund claim only in part. The Appellate Authority, by two distinct orders, modified the impugned order and sanctioned the eligible amount of refund by re-determining it as per the claim of the petitioner. Upon aforesaid orders, fresh application for refund was filed by the petitioner along with claim of 6% interest calculating from the date of original refund application. The petitioner contended that, as per the relevant GST rules, interest should accrue from the date the refund application was received. The High Court examined the statutory provisions and rules governing refund and interest under GST, and observed that interest at 6% is payable if the refund is delayed beyond 60 days from the original order, while 9% applies if the delay occurs beyond 60 days following a fresh application after an appellate order, with the appellate order being treated as an original order for interest purposes. Consequently, the Court quashed the impugned appellate order and directed the respondents to pay interest totalling over Rs. 6.29 crores from the respective dates of receipt of refund applications on the refunds claimed. The writ petition was allowed and disposed of accordingly.

Author's Comments:

Section 56 of the CGST Act provides a clear framework for determining interest on delayed refunds, and this judgment reinforces its two-tier mechanism. The main provision mandates payment of interest at 6% per annum where a refund is not sanctioned within 60 days of the original application under section 54(1). The proviso provides for an enhanced rate of 9% where a refund is sanctioned only after appellate or higher judicial proceedings, and even then is delayed beyond 60 days from the subsequent application filed pursuant to such appellate order.

The Bombay High Court has rightly clarified that this structure does not extinguish the taxpayer's right to 6% interest from the date of the original application. Instead, the proviso merely enhances the rate to 9% for delays arising after appellate confirmation of entitlement. To hold otherwise would unfairly penalize the taxpayer for revenue's erroneous rejection of the refund claim at the original stage. The court's direction to grant interest from the date of the original application recognizes the taxpayer's right to compensation for being deprived of legitimate funds due from the government.

The significance of this ruling is that it prevents revenue authorities from taking shelter under appellate processes to delay payment. Even where fresh applications are required post-appeal, the taxpayer's entitlement to interest traces back to the first application, and only the rate of interest is adjusted depending on the stage of proceedings.

This view aligns with the principle affirmed by the Telangana High Court in Qualcom India Pvt Ltd vs. Deputy Commissioner (ST) (FAC) and Microsoft Global Services Center (India) Pvt Ltd v. State of Telangana [2024 (4) TMI 365], which also recognized the dual structure under section 56 and emphasized the compensatory character of refund interest.

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Whether blocking of electronic credit ledger under Rule 86A without recording reasons amounts to violation of principles of natural justice?

Yes. The Hon'ble Madras High Court in ***Tvl. Guruvammal Tex, Rep. by its Proprietor – Karuppaye Thiruvannamalai v. The Assistant Commissioner (ST)-II & The Joint Commissioner (ST) [W.P. (MD) No. 21209 of 2025 and W.M.P. (MD) Nos. 16371 and 16372 of 2025, decided on 04.08.2025, 2025 (8) TMI 785 – Madras High Court]*** held that blocking of the electronic credit ledger under Rule 86A of the GST enactments without recording valid reasons is arbitrary and violative of natural justice. The petitioner challenged the order passed under Rule 86A whereby the Input Tax Credit available in its electronic credit ledger was blocked. It was contended that the order neither disclosed the reasons for such drastic action nor furnished any material to justify the satisfaction of the authority as mandated under the Rule. The petitioner further argued that blocking of ITC had severely affected its business operations and was carried out without affording any effective opportunity of hearing. The respondents defended the action citing ongoing investigations and certain admissions made by the petitioner in correspondence, but were unable to demonstrate that proper reasons were recorded in writing while invoking Rule 86A. The Hon'ble High Court observed that Rule 86A empowers the proper officer to block electronic credit ledger only upon having "reasons to believe" that the ITC has been fraudulently availed or is ineligible. Such reasons must be recorded and communicated to the assessee to ensure transparency and fairness. Since the impugned order lacked reasons and was issued in violation of the principles of natural justice, it could not be sustained in its existing form. However, considering the petitioner's own admissions and subsequent communications, the Court directed the petitioner to deposit a sum of ₹5,00,000 in cash forthwith, whereupon the electronic credit ledger would be unblocked immediately. With this direction, the writ petition was disposed of.

Author's Comments:

Rule 86A of the CGST Rules is an extraordinary, pre-emptive measure designed to prevent misuse of ITC in very specific situations. Its invocation must be supported by "reasons to believe," which is a well-settled legal standard requiring an objective, rational, and written formation of belief based on tangible material—something far higher than mere suspicion or administrative convenience. Blocking ITC without recording and communicating such reasons undermines transparency and violates the core principle of natural justice.

ITC is a vested right, regarded as property under Article 300A of the Constitution. Blocking it cripples a taxpayer's working capital and business operations. Therefore, any action under Rule 86A must be undertaken with utmost care, and failure to do so results in arbitrariness and exposes the order to judicial scrutiny.

Another key concern is that the blocking order under Rule 86A is not appealable under Section 107 read with Section 121 of the CGST Act. This heightens the duty of the officer to exercise this power sparingly and only after satisfying the statutory preconditions. Both the Karnataka High Court in K-9 Industries v. State of Karnataka [2024 (10) TMI 491] and the Orissa High Court in M/s Transtech Solution v. Commissioner, CT & GST Odisha [2025 (7) TMI 1623] have reinforced that ITC blocking must be preceded by reasoned satisfaction and, ideally, an opportunity of hearing.

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Can confiscation proceedings under Section 130 read with Section 122 of the CGST Act be initiated merely on the basis of excess stock found during survey?

No. The Hon'ble Allahabad High Court in ***M/s Nikhil Trade & Exports v. Additional Commissioner Grade-2 (Appeals)-3, State Tax, Kanpur & Others [Writ Tax No. 3812 of 2025, decided on 12.08.2025, 2025 (8) TMI 924 – Allahabad High Court]*** held that confiscation proceedings under Section 130 read with Section 122 cannot be sustained solely on account of excess stock discovered during a survey. In this case, the departmental officers conducted a survey at the business premises of the petitioner and found certain quantity of excess stock which was not recorded in the books of account. Based on this finding, proceedings were initiated under Section 130 of the Act read with Section 122, resulting in confiscation orders and imposition of penalty. The petitioner challenged the proceedings on the ground that mere excess stock found during a survey does not attract the provisions of Section 130, which specifically deals with confiscation in cases of supply or transport of goods in contravention of the provisions of the Act with intent to evade tax. It was contended that stock discrepancy by itself cannot be equated with "contraband" goods or unauthorized supply to invoke confiscation powers. The Hon'ble High Court accepted the petitioner's contention, observing that Section 130 can only be invoked where there is clear evidence of supply, movement, or transportation of goods in violation of the Act with an intent to evade tax. Excess stock found during survey proceedings, though it may justify further inquiry or proceedings under other provisions such as Section 73/74, cannot by itself trigger confiscation under Section 130 or penalty under Section 122. Following earlier precedents on the subject, the Court quashed the confiscation and penalty orders, holding that the authorities had exceeded their jurisdiction in invoking Section 130. Accordingly, the writ petition was allowed, and the impugned orders were set aside.

Author's Comments:

Confiscation under Section 130 is one of the most drastic powers under the GST regime and must be invoked sparingly and only when the statutory preconditions are satisfied. The mere discovery of excess stock, without anything more, does not by itself establish the critical elements required under Section 130 — namely, supply, movement, or transport of goods in contravention of the Act coupled with a clear intent to evade tax.

Section 35(6) of the CGST Act provides for determination of tax liability where discrepancies are found in stock, but it is limited to shortages. There is no parallel provision addressing the situation of excess stock. Therefore, invoking Section 130 for confiscation or Section 122 for penalty purely on account of excess stock is jurisdictionally flawed.

In the author's view, where excess stock is found, the department's recourse lies in conducting a proper investigation to trace the origin of the goods, verify supplier compliance, and determine whether the goods were indeed received without invoices. If such inquiry reveals contravention by the supplier, action may be initiated against the supplier under Section 122 or Section 130, but the recipient cannot be automatically penalized without proof of active involvement in evasion.

The jurisprudence emerging from Maa Mahamaya Alloys Pvt. Ltd. (Allahabad HC) is instructive, as it clarifies that:

- Only clauses (ii) and (iv) of Section 130(1) could theoretically apply, but even those cannot be used for excess stock since tax liability arises only upon supply, not merely upon holding goods.
- Clause (iv) requires the department to prove not just a contravention but also the taxpayer's intent to evade tax — a burden not easily discharged on the basis of stock discrepancy alone.
- Resort to confiscation proceedings under Section 130, bypassing Section 73/74, amounts to skipping the adjudication mechanism provided by law.

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Can a mere summary of SCN in Form GST DRC-01, lacking signature and authentication, substitute a valid SCN under Section 73?

No, The Hon'ble Gauhati High Court in ***Naser Ali Mondal v. State of Assam & Ors. [WP(C)/4157/2025, decided on 31.07.2025, 2025 (8) TMI 157 – Gauhati HC]*** held that a mere summary in GST DRC-01 cannot replace a proper SCN under Section 73 of the Act. The Court further held that absence of authentication by proper officer and denial of personal hearing in terms of Section 75(4) vitiates the proceedings. In this case, the Petitioner was issued only a summary of show cause notice in Form DRC-01 dated 05.12.2023, with an attachment containing a tax determination, but no proper SCN was served. No date of personal hearing was mentioned in the notice. Subsequently, an order was passed on 29.04.2024 in GST DRC-07, holding that the Petitioner had failed to pay within 30 days. The Petitioner challenged the proceedings on the grounds that no valid SCN had been issued, the attachments were unsigned and unauthenticated in violation of Rule 26(3) of the CGST Rules, and no opportunity of hearing was granted as mandated under Section 75(4). The Department admitted that only a summary SCN in DRC-01 with tax determination was uploaded, and there was no separate SCN. It was also conceded that the attachments to DRC-01 and DRC-07 were unsigned, merely bearing "Sd-Proper Officer".

The Court observed that Rule 142 of the CGST Rules mandates that the proper officer must issue a notice under Section 73(1) and additionally upload a summary in DRC-01. A summary alone cannot substitute the primary SCN. The Court also held that absence of proper authentication by digital or e-signature violated Rule 26(3), relying on precedents from Telangana, Andhra Pradesh, Jharkhand, Karnataka, and Delhi High Courts. Furthermore, under Section 75(4), an opportunity of hearing is mandatory whenever an adverse decision is contemplated, regardless of whether the taxpayer seeks it. Since no such hearing was provided, the order was held to be in breach of natural justice. Accordingly, the High Court quashed the impugned order dated 29.04.2024. However, liberty was granted to the Department to initiate fresh proceedings under Section 73, excluding the period between the issuance of the defective summary SCN and service of the certified copy of this judgment from limitation under Section 73(10).

Author's Comments:

There is a recurring systemic lapse in GST adjudication—confusing the statutory SCN under Section 73(1) with the "summary" in Form DRC-01. The statutory design is unambiguous: Rule 142(1)(a) requires that the Proper Officer must first issue a detailed SCN and then upload a summary in DRC-01. The two are complementary, not interchangeable. The Hon'ble Gauhati High Court has consistently held that a DRC-01 summary, by itself, is insufficient to initiate valid proceedings.

Equally significant is the Court's stress on authentication. Rule 26(3) of the CGST Rules mandates e-signatures or digital signatures on all orders, notices, and communications. The repeated practice of uploading unsigned attachments with a perfunctory "Sd/- Proper Officer" dilutes statutory safeguards and weakens taxpayer confidence in the adjudicatory process. As the Privy Council laid down in Nazir Ahmad v. King Emperor (AIR 1936 PC 253), when the law prescribes a manner, it must be done in that manner or not at all.

At the same time, one must draw a distinction between procedural lapses and jurisdictional defects. In the author's opinion, while absence of a proper SCN strikes at the very root of jurisdiction, the mere uploading of an unsigned attachment—though irregular—may not always vitiate proceedings ab initio.

The larger concern is systemic. Several State GST authorities—including in Punjab, Assam, and Telangana—are relying on software workflows that only generate DRC-01 with attachments, bypassing issuance of a detailed SCN. Unless this technical shortcoming is rectified at the system level, litigation will continue to multiply.

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Whether detention and confiscation orders under Section 129 are valid if no SCN is served as mandated under Section 129(3) of the CGST/SGST Act?

No. The Hon'ble Allahabad High Court (Lucknow Bench) in ***M/s. MLV Constructions v. State of U.P. & Anr. [Writ Tax No. 752 of 2025; 2025 (8) TMI 1459 – Allahabad HC (DB); decided on 21.08.2025]*** quashed detention and penalty orders under Section 129, holding that failure to serve the mandatory show cause notice under Section 129(3) rendered the proceedings illegal and violative of natural justice. The petitioner's goods were intercepted and detained, and subsequent penalty orders were passed under Section 129 in prescribed GST/MOV forms. The petitioner challenged the orders on the ground that no proper show cause notice under Section 129(3) had been served on the owner of the goods, and hence the entire proceedings were without jurisdiction. The respondents sought to justify the action by relying on internal office instructions and contending that notices had been issued in substantial compliance. The High Court observed that Section 129(3) casts a clear statutory mandate that the owner of goods must be served a show cause notice before any order of detention or confiscation is passed. In the present case, there was no evidence of such notice being served. The Court further noted that the office instructions relied upon by the department were misleading and that the responsible officer had acted without proper appreciation of the statutory requirements. Passing orders in GST/MOV forms without ensuring service of notice amounted to a violation of both statutory provisions and the principles of natural justice. Accordingly, the High Court held that the impugned detention and penallty orders suffered from a fundamental illegality, set them aside, and allowed the writ petition in favour of the petitioner.

Author's Comments:

It is important to note that Section 129(1)(a) and (b) use the expression "where the owner of the goods comes forward," indicating that the onus is on the owner to respond and claim ownership. If the owner does not come forward, the proper officer is justified in invoking Section 129(1)(b). Further, as held by the Hon'ble Orissa High Court in RSL Overseas LLP v. State of Odisha [W.P. (C) No. 21541 of 2024, decided on 03.09.2024] (2024 (9) TMI 541) , service of the detention notice on the driver of the conveyance is a valid and legally recognized mode of service under Section 129(1), since the provision covers "any person transporting goods."

In the author's opinion, the key takeaway is that while the department must scrupulously follow the procedure prescribed in Section 129(3), taxpayers must also act promptly upon receipt of notice — whether served on the owner or on the driver — to avoid ex parte orders.

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Whether dismissal of an appeal for non-filing of a self-certified copy of the impugned order is valid under GST procedural rules?

No, The Hon'ble Punjab & Haryana High Court in ***M/s Yakult Danone India Pvt. Ltd. v. Union of India & Ors. [CWP-11252-2025, decided on 18.07.2025, 2025:PHHC:088497-DB; 2025 (8) TMI 65 – P&H HC]*** held that dismissal of an appeal solely on the ground of non-submission of a self-certified copy of the impugned order was unsustainable and restored the appeal subject to compliance within 15 days. In this case, the Petitioner's statutory appeal before the Appellate Authority under Section 107 of the CGST Act was dismissed on the sole technical ground that the self-certified copy of the impugned adjudication order had not been filed along with the appeal memorandum. The Department argued that submission of a self-certified copy was a mandatory requirement under the procedural rules, and failure to comply justified dismissal of the appeal. The Petitioner, however, contended that the defect was merely procedural and curable, and that substantive rights of appeal could not be defeated on such hyper-technical grounds. The Hon'ble High Court observed that the right to appeal is a statutory right and cannot be denied for want of procedural formalities that are curable in nature. The Court relied on the principle that procedural requirements should advance justice and not defeat it. Accordingly, the order dismissing the appeal was set aside, and the Petitioner was granted 15 days to submit the required self-certified copy of the impugned order to the Appellate Authority. It was further directed that upon timely submission, the appeal shall stand restored and be decided on merits within a period of two months. The writ petition was thus disposed of with these directions.

Author's Comments:

This ruling reflects the judiciary's consistent approach of safeguarding the substantive right of appeal from being defeated by curable procedural lapses. The amendment to Rule 108(3) through Notification No. 26/2022 was intended to bring clarity in cases where the adjudication order is not available on the portal, by requiring submission of a self-certified copy within seven days. However, the rule itself is directory in nature, not mandatory, and non-compliance cannot extinguish the right to appeal. The legislative scheme under Section 107 does not envisage dismissal of an appeal on such hyper-technical grounds.

It is noteworthy that the High Court treated the defect as curable and directed restoration of the appeal upon compliance, aligning with the broader principle that procedural law is the handmaid of justice. The Allahabad High Court in M/s. Pawan Hans Helicopters Ltd. vs. State of U.P. and Others (Writ Tax No. 2400 of 2024, decided on 11.03.2025, 2025 (3) TMI 1092 - ALLAHABAD HIGH COURT) has also reinforced this position by observing that Rule 108 does not prescribe penal consequences for delay in furnishing the certified copy and that such interpretation must not result in denial of justice.

This approach also draws strength from constitutional principles under Article 14 and natural justice, as denial of appellate remedy on account of a technical lapse would amount to arbitrary discrimination. In practice, once an appeal is filed electronically and acknowledged by the system, insisting on physical self-certified copies becomes redundant, especially where the order is already available on record.

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His core areas of practice include appellate proceedings, departmental audits, inspection and search cases, and legal strategy formulation under the GST regime. His strong command over GST jurisprudence and nuanced understanding of procedural intricacies make him a sought-after consultant for challenging matters.

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· Specialist in GST litigation and advisory services
· Special Invitee Member of Indirect Taxes Committee of NIRC of ICAI 2025-26
· Vice Chairman of ICAI Amritsar Branch (2024–25)
· NICASA Chairman of ICAI Amritsar (2024–25)
· Previous Treasurer of ICAI Amritsar (2022–23, 2023–24)
· Speaker and contributor to professional development in taxation and finance

Beyond his professional accomplishments, CA RiteshArora is also a former National Silver Medalist and Punjab Gold Medalist in Judo at CBSE National Tournaments—an early testament to his discipline and competitive spirit. With a unique blend of subject-matter expertise, courtroom experience, and a passion for simplifying complex tax laws, CA Ritesh Arora continues to make a meaningful impact as a practitioner, author, speaker, and mentor in India's evolving GST landscape

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